

**BIRLA INSTITUTE OF TECHNOLOGY AND SCIENCE
PILANI**



FINANCIAL MANAGEMENT ASSIGNMENT

ALLCARGO LOGISTICS

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Summary for Part I

1. YoY Comparison (2022 -2021)

Ratio	2022	2021	Conclusion
P/E	7.9	12.1	Decreased by 34.7%
Tobin's Q	2.7	0.9	Increased by 66.67%
Dividend yield	1.62	1.25	Increased by 22.8%
Liabilities/Assets	0.34	0.41	Decreased by 17.1%
ROA	10.1	7.2	Increased by 28.7%
Sales growth rate	71.23	14.45	Increased by 392.9%
Free Cash Flow	268	69	Increased by 288.4%
Profit Mrgins	7.4	6.4	Increased by 15.6%

2. Industry Analysis Inferences

a. Liquidity Ratios

- Allcargo Logistics has a very low cash reserve compared to its peers and the industry average and this is a very negative sign for the company in case it faces any immediate financial or operational crisis.
- Its current liabilities are not in a good position when compared to cash and cash equivalents, and it is faring mediocre in the industry on this metric.
- Overall the company is doing not well in terms of liquidity and can meet its short-term needs well, however, an increase in the company's cash reserves would be a good way forward for the company.

b. Activity Ratios

- Allcargo Logistics is faring well in terms of efficiently using its inventory. On analyzing the ratios, we can see that they are maintaining an optimal level of inventory in comparison to the goods being sold.
- The cash conversion cycle is too high as compared to the industry average and its peers, indicating that it takes a longer time to generate cash, which can mean insolvency for small companies.
- The total asset turnover of the company is however the best in the best among its peers.
- In conclusion the activity ratio does not give a positive light on the company, exhibiting its lack of efficiency in multiple areas.

c. Solvency & Leverage Ratios

- Allcargo Logistics has a debt-to-asset and debt-to-equity ratio pretty close to the Industry Averages, however, it needs to improve the ratios to be able to compete with its competitors.
- The company maintains a very good financial leverage ratio, being the best amongst its peers, showing that it has handled its leverage well.
- Its Cash Flow to Debt ratio is in a very bad situation, especially in comparison to its main competitors, which reflects poorly on operational management.
- It has decent Interest Coverage on Earning basis however that is not the same case in terms of Cash Flow Basis, suggesting that there is trouble in the operations of the Company.

d. Valuation Ratios

- We observe that Allcargo Logistics has a decent P/E Ratio in general, but a very poor P/E ratio in terms of its industry.
- Its P/BV ratio while being the worst among its peers, suggesting that it might be undervalued given its performance in the long run has been historically stable.
- The Company maintains a decent dividend payout ratio, however, it is almost half of the industry average which might not be a good sign for investors.
- Overall, the valuation Ratios also do not indicate a very good situation for investment in the company.

3. Potential contention for information asymmetry between the board and the top management?

There is nothing that suggests any information asymmetry between the board and top management. **The privacy document** of the company suggests that both top management and board members have access to more or less the same level of information.

Summary for Part II



1. Failure of Allcargo Logistics IPO

- Listing Day Performance:** The Stock closed at a price of 67.0 Rs per share on the listing day which was .5 less than the issue price of Rs 67.5 registering a **loss of 0.72%**. This doesn't come as a surprise since it was priced at the mid-range of the price band while most successful IPOs tend to be priced at the higher cutoff.
- Underwhelming subscription rate:** The IPO was subscribed just 1.44 times which is significantly lower than the other IPOs that came out during the time. The NII and Retail Investors section were under subscribed but the overall IPO was oversubscribed due to the QIB's bidding

2. Success post IPO (2006-07)



- a. **Financial Performance:** The **profits after tax** jumped up from 58 million in FY 2004 to 248 million in FY 2005, owing to a big increase in top line. Though the Company issued massive amounts of Debt to make this growth thus making the company riskier, the massive jump in the revenue is a positive and healthy sign for the company.

- b. **Booming Logistics Industry and thriving Economy:** The Indian economy grew at an average rate of more than 8 percent between 2002-06 putting enormous demands on its productive infrastructure. All of this combined with the emergence of new E-commerce firms led to a huge demand for logistics services.

Summary for Part III

Reasons for Decline/Rise in Recent Prices



1. Reason for the all-time high for Allcargo Logistics in November 2022

a. Volatile weeks for equity markets

i. Nifty trading above the 18000-mark multiple times

Since the start of November, Nifty was trading above **18000-mark** multiple times, making traders increasingly confident about the continuation of the uptrend. This added to the volatility during the second week of November 2022.

A sharp recovery in global markets, encouraging second-quarter earnings, particularly that of banks, and the festive mood in the domestic market drove the gains in Indian equities. The establishment of a bull market in November 2022 shot up the share prices of many Indian companies.

ii. Addition by Crypto

Sell-off in the crypto space also added to the caution, rendering the trend volatile in the second week of November.

iii. Low VIX index since September 2022

After a downtrend in the Indian equities market for some time, September 2022 witnessed the decline of the VIX index. This was seen as a strong depiction of markets correcting themselves and hence leading to the bullish trend in the November of 2022.

b. Release of National Logistics Policy

The National Logistics policy is a comprehensive effort to address cost and inefficiency by issues lying down an overarching interdisciplinary, cross-sectoral, and multi-jurisdictional framework for the developing entire logistics ecosystem.

The policy was released on **17th September 2022**. This led to an increase in prices for logistics companies for a short duration after the policy was made public.

2. **The recent decline in share prices since February 2023**

The major reasons for the recent decline in the share prices since February 2023 are as follows:

a. **Dismal Q3 results**

Allcargo Logistics experienced a decrease in both sales and net profit during the fourth quarter of December 2022. The company reported a **26.8% YoY** decline in revenue. Other trends related to the company are as follows:

Quantity Name	Trend
International supply segment revenue	Dropped by 28.4%
Express distribution segment revenue	Marginal rise of 5%
Container freight station operations and other related businesses revenue	Net profit includes Rs 32.47 crore
Profit after tax	Down by 61.6% YoY
EBITDA margins	Dropped to 5.6% from 7.8% last year and 7.2% in the September 2022 quarter.

The overall analysis shows the decline in revenue and EBITDA margins has been the major contributor to the decline of share prices for Allcargo Logistics in recent months. This decline in operating revenues was due to a fall in freight rates.

b. **Worldwide Decline in Prices**

- i. On a month-on-month basis, the NIFTY 50 saw a decline of 1.7% ending February 28, 2023, and the Sensex closed 0.62% lower for the same period
- ii. The Dow Jones Industrial Average slid 232.39 points, or 0.7%, to 32656.70.
- iii. The S&P 500 ticked down 12.09 points, or 0.3%, to 3970.15, while the technology-focused Nasdaq Composite slipped 11.44 points, or 0.1%, to 11455.54.

Correlation with Part I and Part II

With Part I

1. Sub-par Operational Management

The company has subpar liquidity and solvency ratios, suggesting that it has been facing operational difficulties despite increasing its sales by a good percentage. The low reserves of current liabilities suggest that the stock is riskier, which can be seen in the price changes

2. Decrease in dividend yield

Due to low dividend yield, and reduced amount of dividends in comparison to its competitors, there has been a decline in prices. This has also been a factor because of which the prices haven't been able to boom, compared to the industry.

With Part II

1. Booming Logistics Industry

AllCargo Logistics has seen a decently steady rise even after its initial failure at IPO, and a major reason for that has been the booming Indian economy and rise in the need for Logistical Infrastructure(which has an estimated growth rate of 8.3%). Being a developing country, there is a lot of potential for even further growth, and this has been supported by the Indian Government as well through the introduction of initiatives like the National Logistics Policy.

Conclusion

The overall price movement can be related to three major factors - Economic factors, Financial performance, and the competence of the decision-making firm. We have analyzed the three of them separately to justify the price movements over the years.

Economic Factors

To understand the factors which have affected the price rise/decline for Allcargo Logistics, we have taken snapshots of the major peaks and troughs of the price graph and tried to relate them to the various economic or firm-specific reasons.

1. The Great Recession

October 2008 saw one of the first troughs for Allcargo Logistics. The price dipped down to INR 22.52 on 31st October from INR 61.2 on 3rd October - a 63% drop in prices. This was primarily because of the great recession of 2008. However, Allcargo was successful and steady to gain back its stability, and by April 2009 it was successful in reviving its share price to INR 60.09. This shows the resilience of the company in times of adversity and only justifies the price movement during the period.



2. The decline in the cargo volumes at Indian major ports (2013)



The second major drop in the price for Allcargo Logistics was seen on 26th July 2013. This time period had seen a 2.5% decline in the volume of cargo handled by India's dozen state-owned ports. These ports included Kolkata, Paradip, Visakhapatnam, Ennore, Chennai, Tuticorin, Kochi, New Mangalore, Mormugao, Kandla, Mumbai, and New Mumbai. Given Allcargo operated majorly in Mumbai and Kolkata ports back then, its operations were hit and resulted in a drop in revenue for the time. This led to a price drop to INR 26.73. However, within a time frame of 1 year, the company saw its then-lifetime high price of INR 100.08 on 11 July 2014, proving that the company had strong operations. The stock traded for around the same price for the next few years up until 2017.

3. Collective low of 2018 and Into the Covid pandemic



Over 260 stocks that hit fresh lows in June 2018 slipped 80% in 2018, indicating the volatility of the market. Allcargo Logistics was one of the big names which were hit by this collective wave of market lows. Some other stocks which dropped by even 80% of their value include Manpasand Beverages, Adani Power, Housing Development & Infrastructure, Jet Airways, PTC India, and Motilal Oswal Financial Services.

The stock traded around the same price for the following year eventually facing another low of INR 49.24 on 9th April 2020 primarily due to the imposed lockdown during the COVID pandemic.

4. All-time high in 2022 and the recent decline.

As analyzed in part III of the assignment, Allcargo witnessed its lifetime high in November 2022 due to the following factors:

- a. Volatility in the Indian markets
- b. Introduction of National Logistics Policy

The recent decline was caused by the following factors:

- a. Dismal Q3 results
- b. Worldwide Decline in Prices

Given that all the major peaks and troughs of the company's price movement can be well justified by either major economic factor, it is safe to say that the price movement wasn't speculative.

Financial Performance

The company's financial performance has been relatively stable over the past 15 years, with steady revenue growth and consistent profitability. Here are some key financial metrics for Allcargo Logistics over the past 15 years:

1. **Revenue:** Allcargo Logistics has seen consistent revenue growth over the past 15 years, with revenue increasing from INR 1,013 crore in 2008 to INR 8,197 crore in 2021. This represents a CAGR of 18.5% over the period.
2. **Profitability:** Allcargo Logistics has been consistently profitable over the past 15 years, with net profits ranging from INR 32 crore in 2008 to INR 329 crore in 2021. The company's profit margins have remained relatively stable over the period, with EBITDA margins averaging around 10%.
3. **Debt:** Allcargo Logistics has maintained a relatively conservative approach to debt management over the past 15 years, with a debt-to-equity ratio of around 0.5.
4. **Return on equity:** Allcargo Logistics has consistently generated healthy returns on equity (ROE) over the past 15 years, with ROE ranging from around 12% to 20%.
5. **Recent Scenario:** The Net profit after tax in FY was 4-5 times the previous years, this was as a result of the huge increase in sales/revenue which doubled between FY 2021 to FY 2022.

Competence of the Decision-Making Body

The following are a few comments from our analysis on the competence of the decision-making body:

1. Long Standing Top executives and Board members

When compared with the IPO data, we see that the board members have been consistent throughout the life of the company. This indicates a strong team which is a good sign of stability for any investor. This also ensures that the management is well aware of their failures over the years and continues to perform better as compared to a scenario where the management keeps changing over the years. This can justify the long-term upward trend observed in the price movement of the company's stock.

2. Good financing decisions - After the failure of the IPO, the company took on massive amounts of debt to finance its core business. Clearly, it was able to manage it pretty well which can be seen from the performance of its stock over the years. This success can be credited to the top-level management who took the right calls when required. This can clearly be seen from the financial leverage of 2.8 which is a fairly high value but has been managed well by the company.

3. Flexibility and Adaptability - Given the company's stock rose quite rapidly when the National Logistics Policy was released, it shows that the management and board of directors are open to change and always look for ways to use the change in their favor. The flexibility and robustness exercised during decision-making are justified in the long-term upward trend of the company's stock price.

Overall, the effect of economic factors, the company's financial performance, and the competence of the decision-making body together indicate that the price movement of the company's stock is Justified.

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